Inside Tungsten West's £71 Million Restart Financing

Government Capital, Project Expenditure and Refinancing Risk at Hemerdon

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Independent SMPT research

Presentation v2

S1 S2 S3 Accepted FI001 research. Revision candidate for human editorial review.

Government capital strengthens the restart and sets a financing timetable

National Wealth Fund (NWF) financing / Dated disclosures and independent analysis

£61m

Gross equity and core debt

Equity provides residual-risk capital. The fully drawn core loan adds repayment during the operating ramp.

£40–45m

Remaining project expenditure

October guidance excludes operating costs. Its payment schedule determines how much cash the restart consumes before collections.

366 days

Announced core-loan tenor

Dependable cash generation or replacement financing must align with the executed repayment date.

Management reports a fully funded restart. A reconciled cash and debt schedule is the next underwriting requirement.

S1 S2 S4 Accounts, approved 2 Sep 2026, pp37–38. October presentation, slides20,33. August terms, 25 Aug.

Financing and operating progress advanced through distinct 2026 milestones

Hemerdon, Devon / Drakelands Restoration Limited (DRL), wholly owned operating subsidiary

25 Aug	28 Aug	By 2 Sep	15 / 23 Sep	13 Oct release
NWF package announced	**Bridge repaid**	**Core loan fully drawn**	**Processing / offtake**	**Commissioning update**
£36m equity and £25m core loan plus uncommitted capacity	Issuer states full repayment and NWF debt effective	Disclosed in accounts published 3 September	Processing commencement, then Elmet agreement	Fine gravity Q3 achieved Coarse gravity October achieved

The sequence documents financing and industrial activity. It does not quantify additional output caused by NWF capital.

S1 S2 S4 S5 S6 S7 Issuer releases: 25/28 Aug, 15/23 Sep. Accounts: published 3 Sep, approved 2 Sep. October deck: 13 Oct.

The £71m headline contains £61m of gross core financing

Instrument amounts / GBP million / Transaction financing, not current cash



£61m

gross core total

£10m

Uncommitted accordion

Additional borrowing requires agreement and adds debt.

Equity and the core loan have distinct risk economics. The outlined accordion carries a different availability status.

S1 S3 S4 NWF and issuer releases, 25 Aug. Accounts pp37,65: full core draw by 2 Sep. Model Funding!D8:D12.

Equity absorbs residual risk and the loan requires repayment

NWF equity in Tungsten West plc / Proposed loan borrower: DRL, with group guarantees

Instrument / provider	Economics and obligations	Reported status / horizon
£36m NWF equity	Ownership participation and residual risk. Specified governance / information rights.	Raise reported. No scheduled principal repayment.
£25m NWF core loan	SONIA + 5.5pp initial margin. Margin increases 1pp each quarter.	Full draw by accounts approval. 366-day tenor, precise maturity open.
£10m NWF accordion	Further borrowing subject to commitment. Any draw would increase indebtedness.	Explicitly uncommitted. Zero availability in delivered scenarios.

The filed group deed supports security diligence. Its unnamed lender leaves NWF linkage inferential; priority requires full documents.

S1 S2 S3 S4 S8 August terms; accounts pp37–38,65; October slide33; group deed 28 Aug. SONIA: Sterling Overnight Index Average. pp: percentage points.

The August plan combined £61m financing with other cash sources

Original plan dated 25 August 2026 / GBP million / Unspecified peak funding date

Sources

Equity / core loan	61
Opening cash	7
Provision recovery	5
Anticipated receipts	15
Stated total sources	**88**

Uses

Operating / finance / working capital	23
Project capital categories	28
Bridge repayment / EA provision	23
Planned cash reserve	13
Rounded detail / stated total	**87 / 88**

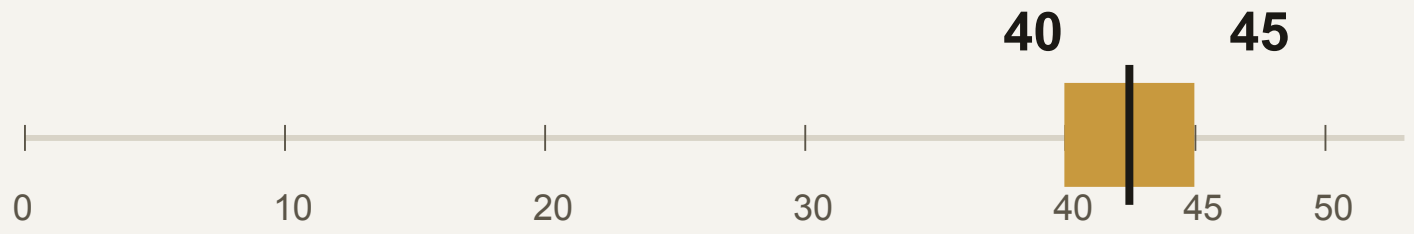
Rounded use lines sum to £87m versus the £88m published total. The model retains the £1m difference without inventing a use.

S4 S5 RNS9611R Appendix Sources and Uses. Model August plan. Later repayment reported 28 Aug.

October guidance leaves £40–45m of project expenditure

Management estimate released 13 October 2026 / GBP million / Operating costs excluded

Remaining project spend



42.5 midpoint

£25–35m in FY2027

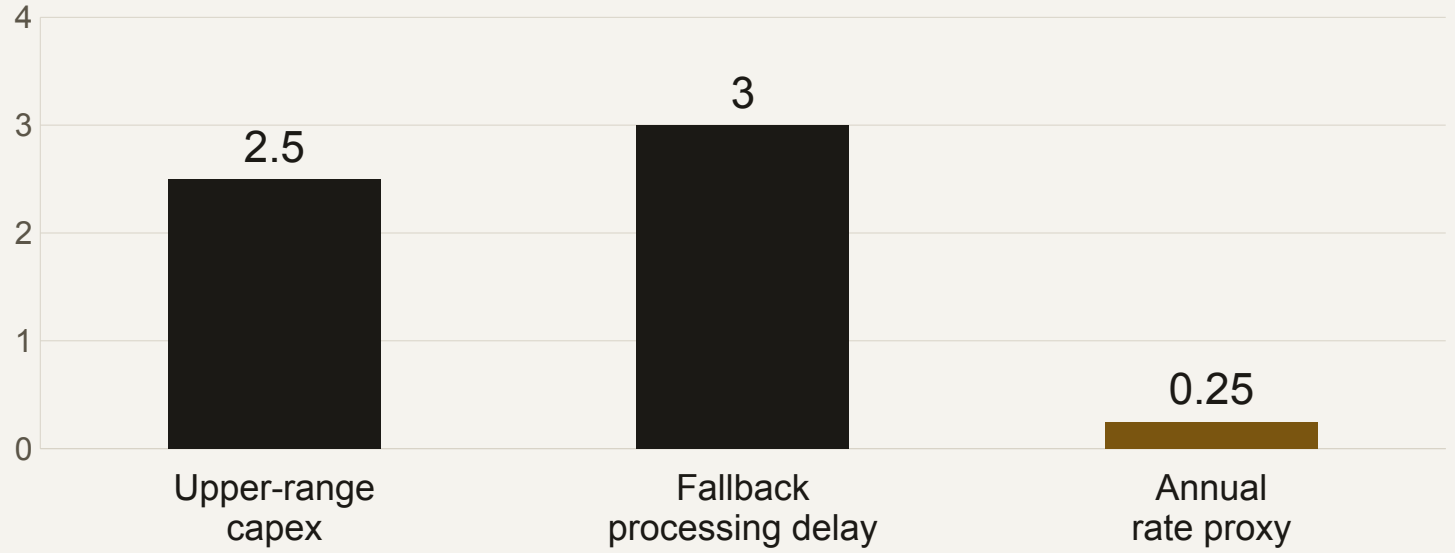
The balance falls in the following financial year.

A dated capex ledger must connect guidance to deposits, unpaid commitments and monthly payments before it informs cash headroom.

S2 October presentation slide20. Model Funding!D16:D17,D27:D28. Financial years end 31 March.

The illustrative downside adds £5.75m above the spending reference

October-based analyst stress / GBP million incremental / No accordion draw assumed



£5.75m

incremental stress

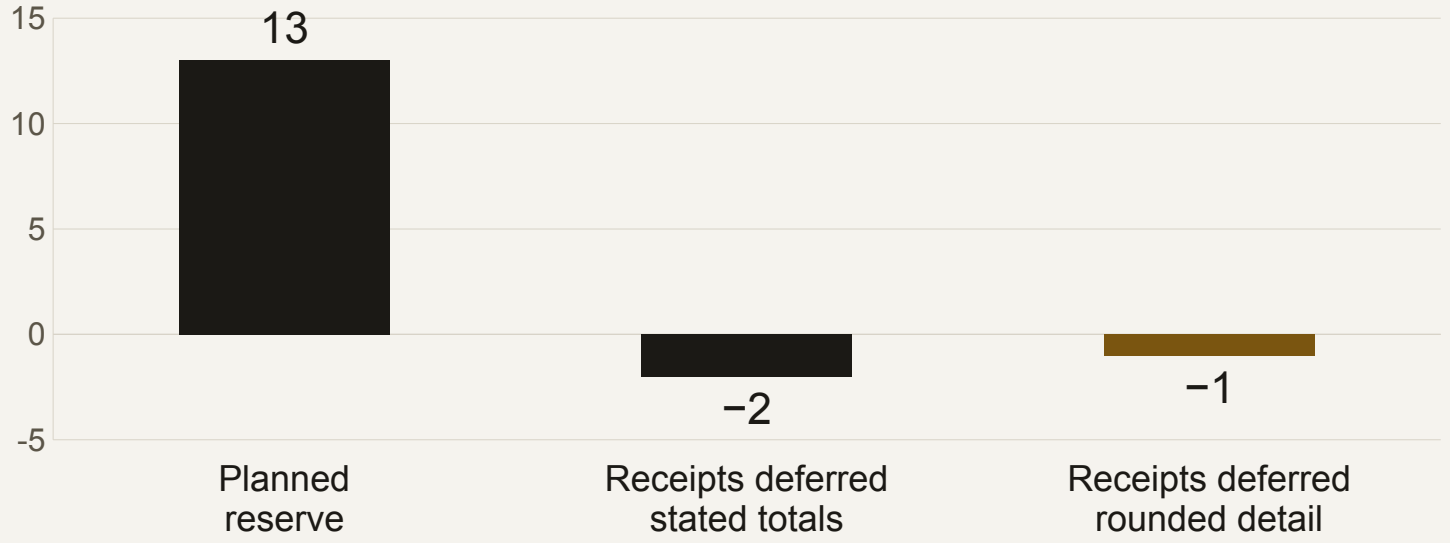
£2.5m = £45m − £42.5m
£3m = company delay sensitivity
£0.25m = 1% × £25m × 1 year

Execution pressure can raise both project uses and financing cost. The annual rate proxy isolates exposure without modeling contractual interest.

S1 S2 Accounts p38: three-month fallback-processing sensitivity. October slide20. Model Funding!D18:D23, Downside.

Deferring August receipts removes the plan’s cash reserve

Historical August counterfactual / GBP million / All other original-plan items held fixed



£15m

anticipated receipts deferred

£88m − £15m = £73m sources
£88m − £13m = £75m uses
£73m − £75m = −£2m

Rounded detailed uses imply approximately −£1m. This scenario tests the August plan and stays separate from October’s £5.75m stress.

S4 RNS9611R funding appendix, 25 Aug. Model August plan!D35:D37 with receipts factor 0.

Commissioning must establish repeatable payable output

Reported milestones and management guidance / No independently verified steady-state performance

Processing commencement	15 September announcement Financial test: Sustained hours and throughput	**Reported activity**
Fine / coarse gravity wet commissioning	Q3 / October achieved in October deck Financial test: Recovery, product quality and unit cost	**Management-reported milestone**
FY2028 output outlook	More than 3,300t WO3 and 600t tin Financial test: Payable production and shipment reconciliation	**Management guidance**

Throughput and recovery determine saleable volume. Poor recoveries or acceptance delays can absorb cash even as physical work advances.

S2 S6 Processing release, 15 Sep. October presentation, operating milestones and FY2028 guidance.

Elmet provides a contracted outlet with variable-price receipts

Agreement announced 23 September 2026 / 1,000t contained WO3 annually for eight years

Contracted route **APT-linked variable pricing**

01	02	03	04
Payable output	**Delivery / acceptance**	**Invoice**	**Collection**
Quantity and specification	Customer accepts product	Price and settlement terms	Customer payment
Operating evidence needed	Shipment evidence needed	Invoice data needed	Bank receipt evidence needed

S7 Issuer RNS8695V in FCA NSM, highlights and further information. APT: ammonium paratungstate. Delivery/payment dates unresolved.

The short loan horizon makes the cash-conversion timetable material

Announced 366-day tenor / FY2028 financing-service guidance / Exact maturity unresolved

Financing obligation	Disclosed tenor	FY2028 cash guidance
Core NWF loan	**366 days** Agreement / drawdown origin differs	**~£26m principal + interest**
Equipment finance	**3–5 years**	**~£6m service**

Refinancing would change payment dates and terms. A monthly forecast through the executed maturity is needed to assess repayment.

S1 S2 S4 S8 August terms: agreement-date origin. Accounts p38: drawdown origin. October slides23,33. Deed 28 Aug.

Each capital provider needs a different test of the operating ramp

Institutional decision matrix / Independent SMPT interpretation

Perspective	Decision exposure	Evidence with greatest decision value
Equity investor	Residual cash returns and further dilution	Payable output, collection margins and terms of any additional capital.
Project lender	Payment dates and recovery rights	Executed facility, monthly cash minimum and creditor / equipment priority.
Public capital provider	Financial recovery and strategic supply	Use of proceeds, loan performance and verified supply delivered to customers.

Strong plant performance improves each case through different channels. Strategic supply outcomes and financial returns need separate monitoring.

S1 S2 S4 S7 S8 Accepted memo sections3,6,7 and Phase1B information-request checklist. No investment recommendation or lender underwriting.

Collections and financing terms will shape the next assessment

Financial conclusion / Supported restart pathway with specific monitoring priorities

Capital provision has advanced

The company reports the equity raise, full core-loan draw and a fully funded restart, alongside commissioning progress.

The next evidence should connect cash to obligations

Bank-reconciled liquidity, repeatable payable shipments and customer collections would strengthen assessment of headroom. Executed loan and replacement-finance terms would resolve the repayment timetable.

S1 S2 S4 S7 Accepted FI001 memo and Phase1B closure. Review candidate retains the 4 November 2026 research cutoff.

Source dates and financial observation dates serve different purposes

Appendix A / Primary-source hierarchy and date reconciliation

Source	Publication / event basis	What it establishes
S1 Audited FY2026 accounts	3 Sep publication / 31 Mar balance sheet 2 Sep accounts approval	Historical cash and subsequent full core-loan draw disclosure.
S4 / S6 / S7 Issuer releases	25 Aug finance / 15 Sep processing 23 Sep Elmet	Announced terms, reported activity and commercial contract.
S2 October investor deck	13 Oct release / October guidance	Remaining spend, commissioning status and financing guidance.
S8 Group security filing	28 Aug deed / 1 Sep delivery 4 Sep certificate	Executed deed, chargors and exclusions. NWF linkage inferential.

S1 S2 S4 S6 S7 S8 All sources resolve to the accepted Phase1A register. No live evidence refresh. Full locators also in source-appendix.md.

Instrument status limits which amounts can be aggregated

Appendix B / Capital and liability classification register

Instrument / amount	Supported status	Aggregation rule
Equity £36m / core loan £25m	Raise reported / full loan draw disclosed	£61m gross core. Not net cash.
Accordion £10m	Uncommitted lending capacity	Separate from available funding.
May bridge USD25m	Facility limit. Full repayment reported 28 Aug	Do not retain as current debt or convert limit into actual GBP cash.
Equipment £22.3m / £11m / ~£22m	April agreement / October current / ordered	Scope overlap unresolved. Do not add as aggregate principal.
Restoration escrow £14.912m	Restricted balance at 31 Mar 2026	Excluded from general-use cash.

S1 S2 S4 S5 S9 S10 Accounts and August terms; bridge releases 21 May / 28 Aug; April release 8 Apr; October slide33.

The four findings reconcile to the accepted financial model

Appendix C / Model hash and calculation checks / GBP million unless stated

Finding / model location	Calculation	Accepted result
Core / headline Funding!D10,D12	36 + 25 / 61 + 10 uncommitted	61 / 71
Spend Funding!D16,D17	October range 40–45 / midpoint	42.5 reference
Stress Funding!D21, Downside	(45 − 42.5) + 3 + (1% × 25 × 1yr)	5.75 incremental
August August plan!D35:D37	88 − 15 − (88 − 13) Rounded detail: 88 − 15 − (87 − 13)	−2 stated-total basis −1 rounded-detail basis

Preserved validation: 32 LibreOffice cases, 167 formulas, zero remaining failures or cached differences. Native Excel execution remains unverified.

S1 S2 S4 Accepted workbook SHA-256 da37ccd1…4562895f7. Full hash and cell provenance in validation-results.json.

Liquidity and executed terms are the highest-value next disclosures

Appendix D / Ranked diligence requests from the accepted Phase1B record

Priority	Request	Financial question it resolves
1	Same-date cash / debt and cash rollforward	How much unrestricted cash is available against outstanding commitments?
1	Paid / committed / remaining capex ledger	When do October spending estimates become bank payments?
2	Executed loan, amendments and security terms	What are the exact maturity, covenants, pricing conventions and creditor priority?
2	Equipment draw and amortisation schedule	Which disclosures overlap, and when does equipment service fall due?
3	Payable output, invoices and collections	How does operating performance convert to cash through the debt horizon?

S1 S2 S4 S7 S8 Phase1B information-request checklist. No outreach undertaken. A new evidence update needs separate authorization.